In assessing the profitability of banks in the provision of PTAs and related services we have reference to financial data provided by Absa for its Flexi Banking Services (FBS) and Retail Banking Services (RBS) segments . . .

Absa provided data showing profit growth in the FBS segment at a compound average growth rate (CAGR) of 24 per cent per annum over the period 2002 to 2005. Revenue (operating income) in this segment grew at a CAGR of 23 per cent per annum – i.e. at roughly the same rate as profit – and expenses at 22 per cent. This implies that the growth in the amount of profit in the FBS segment "was due primarily to increases in volume and not to an increase in profit margins (measured as a percentage of revenues)".

In the RBS segment, the amount of profit grew even faster – at a CAGR of 40 per cent per annum over the period 2002 to 2005. Here, however, revenue (operating income) grew at a CAGR of only 9 per cent per annum, and operating expenses at 5 per cent. Thus it is clear that profit margins did increase. Given that the number of RBS customers also grew at an annual average rate of only 5 per cent over this period, higher transaction volumes at lower unit costs provide the fundamental explanation for the increased profits. Absa concluded, and we agree, that "[t]his means that the growth in profit margins at RBS between 2002 and 2005 can be attributed largely to economies of scale." In short, unit costs came down sufficiently to provide the main basis for a 40 per cent compound annual growth in profits over the whole period.

It is evident that Absa failed to pass on these unit cost savings to any significant extent to its customers by way of price reductions, choosing instead to retain most of these savings as profits. Absa was able to increase prices on its main transaction account products over the period 2002 to 2005 at a rate roughly in line with or slightly below inflation during those years – despite benefiting from substantial unit cost reductions as a result of economies of scale.

We were not able to conduct the same specific analysis for the other banks, primarily because they did not provide data on operating expenses going back far enough in time to be useful for this purpose. However, there can be little doubt that in the prevailing conditions of market expansion, all the major banks benefited from economies of scale. As evidenced in the figures provided by Absa, there has been no real competitive pressure to reduce prices from other banks – indicating that they too have retained the greater portion of savings from unit cost reductions as profits rather than pass